

ILLUSTRATION BY **RAJ VERMA**

This is because the GST Council is under pressure to exempt a variety of items from pressure groups, defeating the very purpose of a comprehensive countrywide GST.

Thirdly, the compliance burden for filers is too high, with more than 55 annual returns, and having to deal with 3,000 pages of legislation and 15,000 pages of circulars and guidelines. Fourthly, thanks to multiple slabs and constant tweaking of which item falls into which slab, there is a huge amount of litigation and disputes are mounting. There is also harassment arising from differences in interpretation. This is happening both for central and state level GST. That is also leading to judicial backlog.

Thankfully, by consensus there

is only one appellate tribunal called GSTAT for all national and state level disputes and orders. It is expected to be a modern court and will use case management techniques that are codified in its operational rules and enabled by state of the art and digital technology. Before it gets further mired in disputes and GST collection starts stagnating, some important reforms are needed.

Firstly, we need just two or three rates ideally. A low rate for necessities and a median rate for all other goods and services. The list of necessities should be small, mainly food and medicines, and should avoid a paternalistic approach to classification. Secondly, GST should widen the net by including energy and electricity and move many items from zero

or exempt category to the low rate. Thirdly, the median rate should be 12% not 18%. GST is a consumption tax, does not depend on the income of the payer, and hence poses an unfairly higher burden on the poor. It skews the ratio of indirect to direct taxes, which should ideally go below 50:50. A lower rate will make GST fairer, and less inflationary, and will increase compliance and reduce evasion. Fourth, GST enforcement should move aggres-

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sively to digital technology, using Artificial Intelligence techniques to detect fraud or evasion. The data captured by the GST network must be made open, with appropriate safeguards to protect privacy, which can then be used by researchers and policy makers for real time assessment of the economy.

The rollout of GST is historic. Its grand success and sustainability require that the tax burden be moderate, its coverage be comprehensive, its administration use cutting edge technology, dispute resolution be swift and fair, and its collection be shared generously with the states in the true spirit of cooperative federalism. **BT**

Views are personal